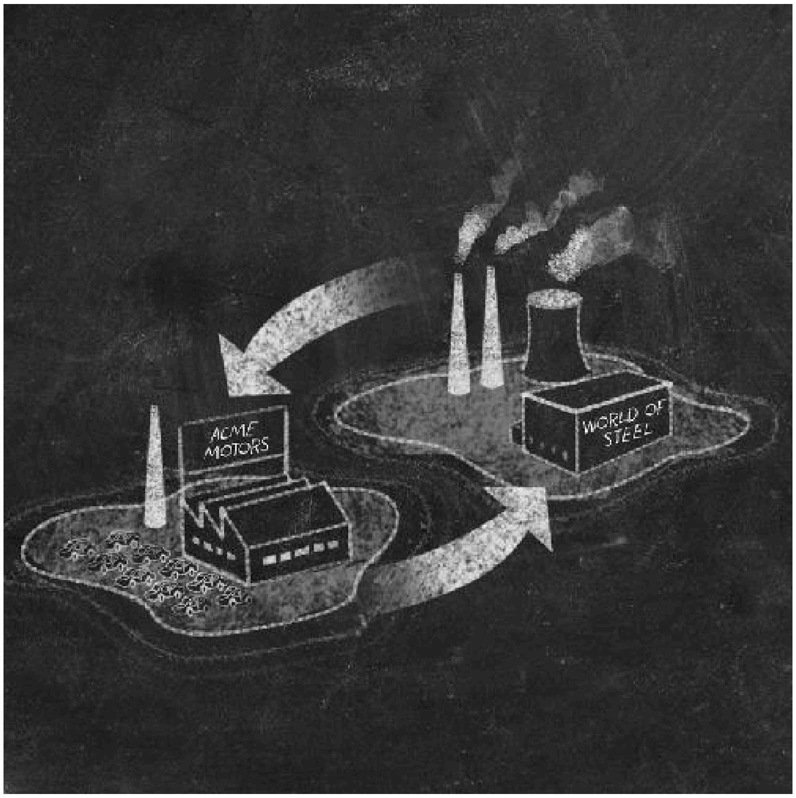
Trade and geography



Economists have recently started to think of industrial specialization and patterns of international trade as arising more or less by accident. The classical theory of trade says that one country becomes the leading exporter of cloth because it is abundant in sheep, another of wine because it has the right weather. In fact, a lot of trade goes on between industrialized economies with essentially similar natural resources and populations.

However, an industry like steel production is much more efficient at a large scale, because of the big investments in plant and machinery that initially have to be made. So once one country starts producing steel it builds up a cost advantage. This makes it hard for other countries to catch up, so the country comes to dominate steel exports. Some other country might just as well have been the first to set up a steel plant, in which case it would have become the leading producer.